

12 Valuation of investments

9 primary questions | Oldest to newest

2026 objectives: 4.4.2, 4.4.4

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2005 Q4	8 marks
CA1-P1 April 2006 Q2	6 marks
CA1-P1 April 2006 Q5	8 marks
CA1-P1 September 2006 Q4	16 marks
CA1-P1 April 2007 Q3	11 marks
CA1-P1 September 2015 Q4	14 marks
CA1-P1 April 2018 Q4	16 marks
CP1-P1 April 2022 Q6	12 marks
CP1-P1 April 2023 Q6	10 marks

CA1-P1 | September 2005 | Q4

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** Discuss the steps that should be followed to determine the fair value of a large portfolio of bonds with low liquidity. [8]

CA1-P1 | April 2006 | Q2

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 2**
- (i) State both the general formula and the simplified formula for the dividend discount model defining all the terms used. [4]
 - (ii) List the assumptions underlying the simplified version of the model. [2]
- [Total 6]

CA1-P1 | April 2006 | Q5

Current topic | 8 marks total | Original PDF p2

Related: Ch 9.

- 5 Outline reasons why the ordinary shares of two companies might trade at different price earnings ratios. [8]

CA1-P1 | September 2006 | Q4

[Current topic](#) | [16 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4**
- (i) Explain why market value is not always suitable to use when valuing an asset. [4]
 - (ii) Describe the following methods of valuing an asset:
 - (a) Book value
 - (b) Smoothed market value
 - (c) Discounted cash flow value
 - (d) Value resulting from a stochastic model
 - (e) Arbitrage value [7]
 - (iii) Outline the circumstances in which each of the methods in (ii) could be used. [5]
- [Total 16]

CA1-P1 | April 2007 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 9, Ch 19.

- 3** (i) Describe the interests of leaseholders and freeholders in the context of property investment. [3]

An investor owns a freehold property that is leased to a commercial tenant.

- (ii) Give a general formula for valuing this freehold property stating the assumptions made. [3]

An investor has been offered the opportunity to purchase a number of short fixed term leases on high quality residential properties located close to the financial centre of a large city.

- (iii) Explain how the investor would determine the discount rate to be used to put a value on each lease. [5]

[Total 11]

CA1-P1 | September 2015 | Q4

[Current topic](#) | [14 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4**
- (i) Explain the meaning of net asset value per share in the context of equity investment. [3]
 - (ii) Assess the usefulness of net asset value per share, as shown in the accounts, as a means of deciding whether or not to purchase shares, quoted on a major exchange, in the following companies:
 - (a) an advertising agency
 - (b) a mineral extraction, e.g. mining company
 - (c) an industrial manufacturing company
- [11]
[Total 14]

CA1-P1 | April 2018 | Q4

Current topic | 16 marks total | Original PDF p3

Related: Ch 10.

- 4** (i) Describe five methods which can be used to value the assets that an insurance company might hold. [10]

An insurance company's liabilities are sensitive to interest rates. The company wishes to reduce its exposure to interest rate risk via the use of swaps.

- (ii) Explain how:
- (a) These swaps could be valued in the company's accounts.
 - (b) Their values will move if future interest rates are lower than expected.
- [6]
[Total 16]

CP1-P1 | April 2022 | Q6

[Current topic](#) | [12 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** Discuss how a fair valuation could be determined for each of the following types of asset:
- (a) Unlisted corporate bonds
 - (b) Commercial real estate loans
 - (c) Property
 - (d) Defaulted loans made to and secured on infrastructure assets.

[12]

CP1-P1 | April 2023 | Q6

Current topic | 10 marks total | Original PDF p3

Related: Ch 14.

- 6** A bank sells commercial mortgages to supermarkets. A portfolio of these commercial mortgages is now being put up for sale, and an insurance company is considering purchasing the portfolio as an investment opportunity.
- (i) Set out the steps the insurance company should take to assess this investment opportunity. [5]
 - (ii) Discuss the issues that the insurance company should consider when choosing a method to value the portfolio. [5]
- [Total 10]